2025

Economic Impact of Visitors to Garden Grove



TOURISM ECONOMICS

AN OXFORD ECONOMICS COMPANY

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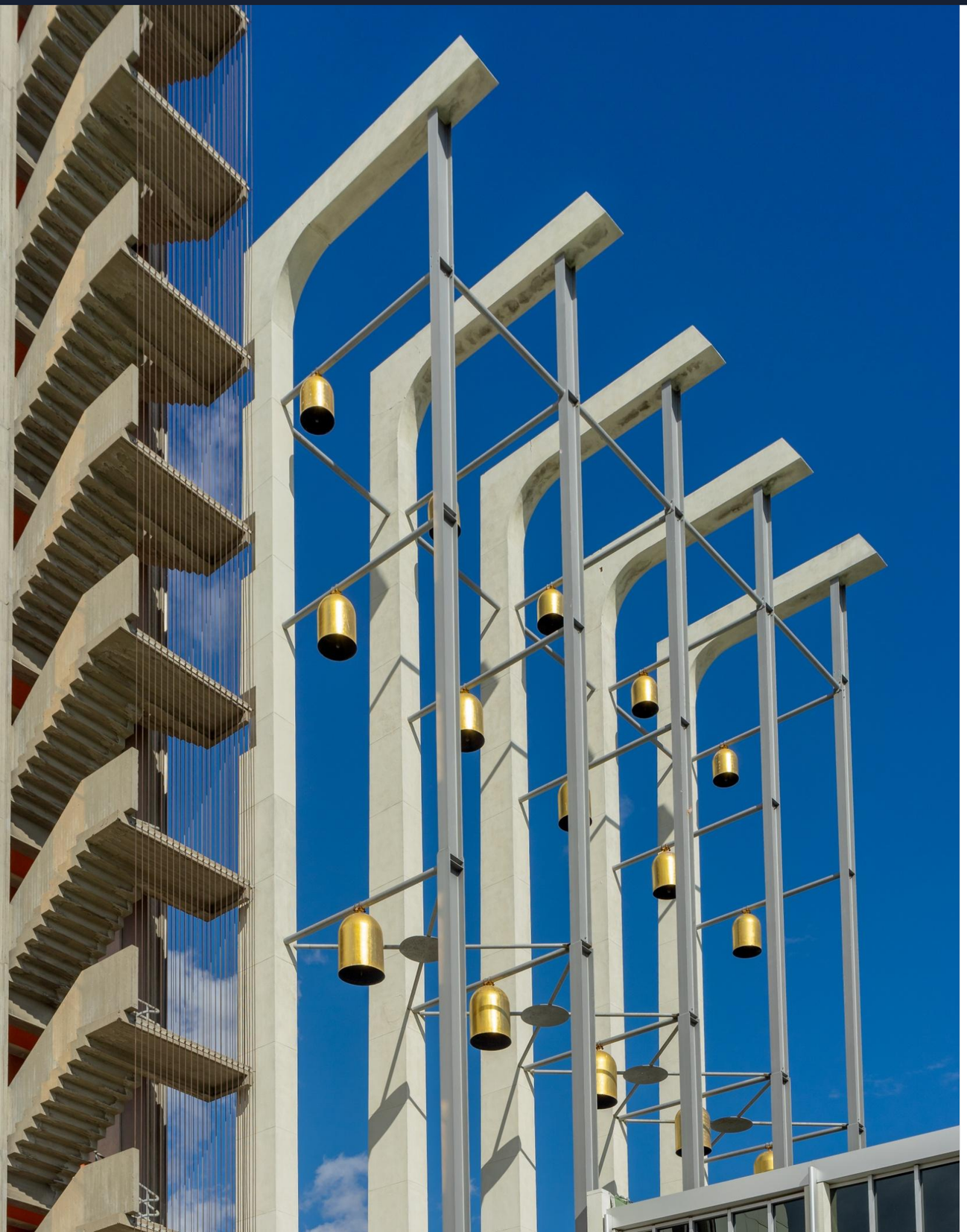
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Introduction

Visitors are integral to the Garden Grove economy, generating significant financial benefits for residents and local businesses. Visitor activity also produces substantial tax revenue which supports government services.

Credible measurements of the visitor economy are designed to inform policy decisions that foster the sector's development.

To quantify the significance of the Garden Grove visitor economy, Tourism Economics developed a comprehensive analysis of visitor spending and its total economic impact on businesses, employment, personal income, and taxes. At a high level, our approach includes the following stages:

- Compilation of visitor statistics
- Compilation of industry data
- Compilation of government data
- Analysis of visitor spending by category
- Economic impact modeling

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KEY FINDINGS

Key Findings

Visitors Generate Significant Economic Impact

In 2025, **3.2 million visitors spent $769.3 million** in the Garden Grove economy, generating a total economic impact of $1.1 billion.

3.2M VISITORS TO GARDEN GROVE

$769.3M VISITOR SPENDING

$1.1B TOTAL ECONOMIC IMPACT

$263.2M TOTAL PERSONAL INCOME

6,694 TOTAL JOBS SUPPORTED

$83.6M STATE AND LOCAL TAXES



Results in Context

The visitor economy is an economic pillar in Garden Grove. In 2025, visitor spending supported one-in-eight jobs in the city. In addition:

$769.3M VISITOR SPENDING

Visitors spent $2.1 million per day in Garden Grove, on average.

$263.2M PERSONAL INCOME

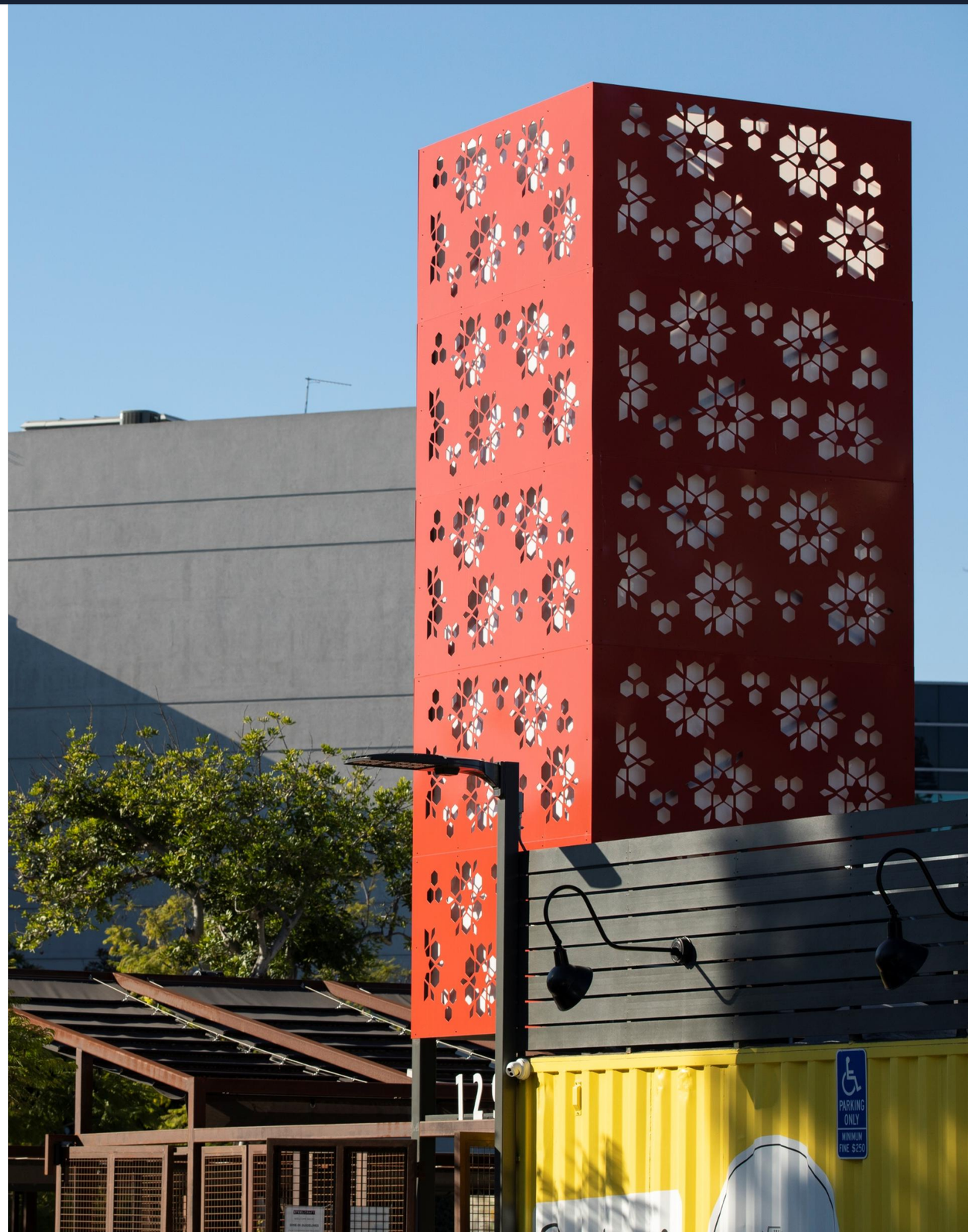
This is equivalent to $5,358 per resident household, across all households in the city.

6,694 JOBS

The visitor economy sustained 11.8% of all jobs in Garden Grove in 2025.

$83.6M STATE & LOCAL TAXES

State and local taxes generated by the visitor economy offset resident taxes by $1,702 per household.



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VISITOR VOLUME & SPENDING

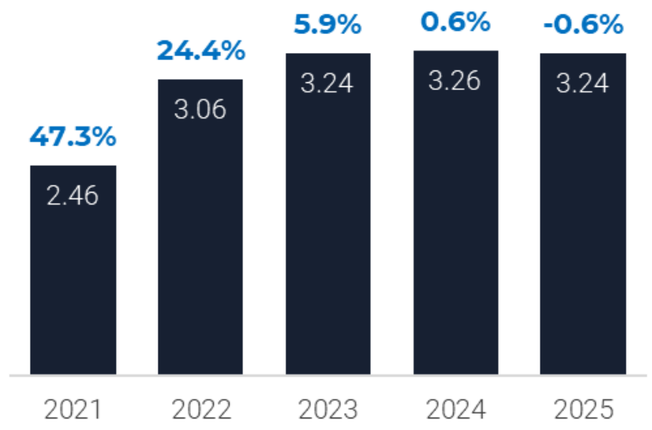


Garden Grove welcomed **3.2 million** visitors who spent **$769.3 million** in 2025.

Visitor Volume

Visitor volume to Garden Grove totaled 3.24 million in 2025, representing a slight decrease (-0.6%) from the prior year. This decline was largely due to softer overnight demand.

Garden Grove Visitor Volume
millions



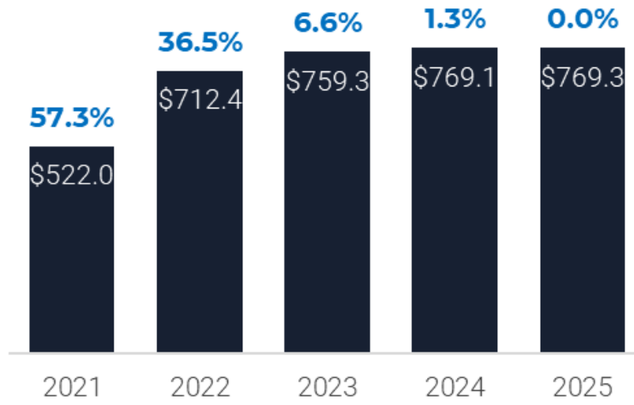
Source: Tourism Economics

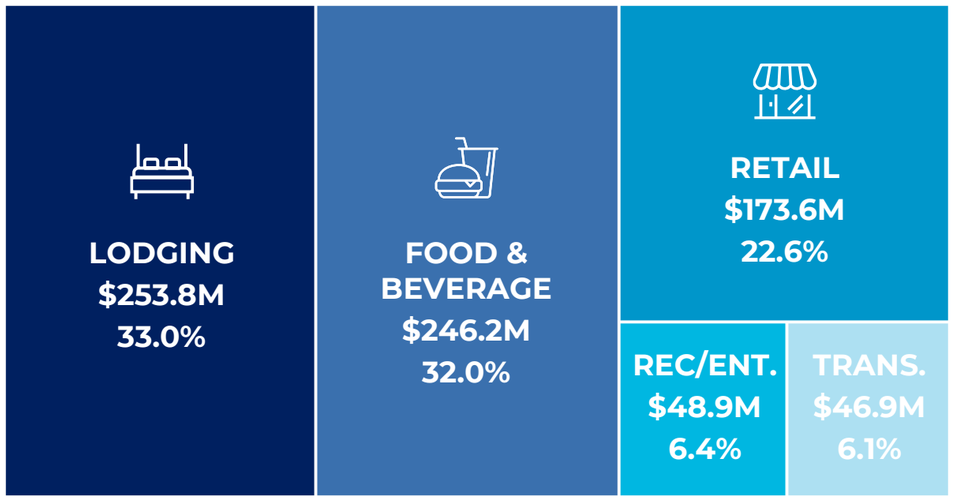
Visitor Spending

Visitor spending reached $769.3 million in 2025, essentially unchanged from the prior year.

Lodging spending accounted for the largest share of that total, at $253.8 million, or 33.0% of all visitor spending. Food and beverage purchases made up 32.0%% of spending, totaling $246.2 million.

Garden Grove Visitor Spending
$ millions





Source: Tourism Economics

Note: Lodging includes all accommodation types.

Visitor Volume and Spending Trends

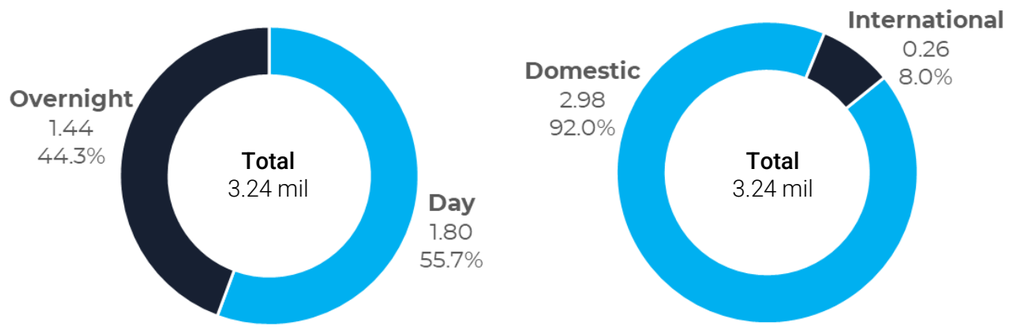
Visitor spending in Garden Grove held steady in 2025, supported mostly by higher price levels for non-lodging goods and services.

Food and beverage spending saw the strongest increase, rising 4.0% year-over-year, followed by recreation at 2.7%. In contrast, declines in both room demand and ADR weighed on lodging, which fell 4.2% from the previous year.

According to STR data, room demand declined 1.0%, occupancy fell to 70.4% from 71.1%, and average daily rates decreased 3.4%.

A slight majority of visitors (55.7%) were day visitors, while approximately 44% stayed overnight. Most visitation is domestic, accounting for 92% of the total.

Garden Grove Visitor Volume, by segment
share of visitors



Source: Tourism Economics

Garden Grove Visitor Spending
$ millions

	2021	2022	2023	2024	2025	2025 Growth
Total visitor spending	**$522.0**	**$712.4**	**$759.3**	**$769.1**	**$769.3**	**0.0%**
Lodging	$159.2	$252.7	$271.7	$264.9	$253.8	-4.2%
Food & beverage	$166.2	$211.1	$224.6	$236.8	$246.2	4.0%
Retail	$121.7	$158.4	$167.4	$172.3	$173.6	0.7%
Recreation	$34.2	$43.8	$47.6	$47.6	$48.9	2.7%
Transportation	$40.7	$46.5	$48.1	$47.4	$46.9	-1.2%

Source: Tourism Economics

Note: Lodging includes all accommodation types,.



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ECONOMIC IMPACT METHODOLOGY

Economic Impact Methodology

The development of visitor economy impact modeling begins with a comprehensive demand side analysis. Visitor survey data provides estimates on the volume of visitors by type and their spending in specific industries (e.g. lodging, restaurants, retail, recreation and entertainment, transportation). These estimates are strengthened through an analysis of industry-specific data sets on the lodging industry, aviation, and sectoral-level business sales. Government data, including taxes by type, as well as employment and personal income by industry, are used to supplement and confirm demand-side visitor spending calculations.

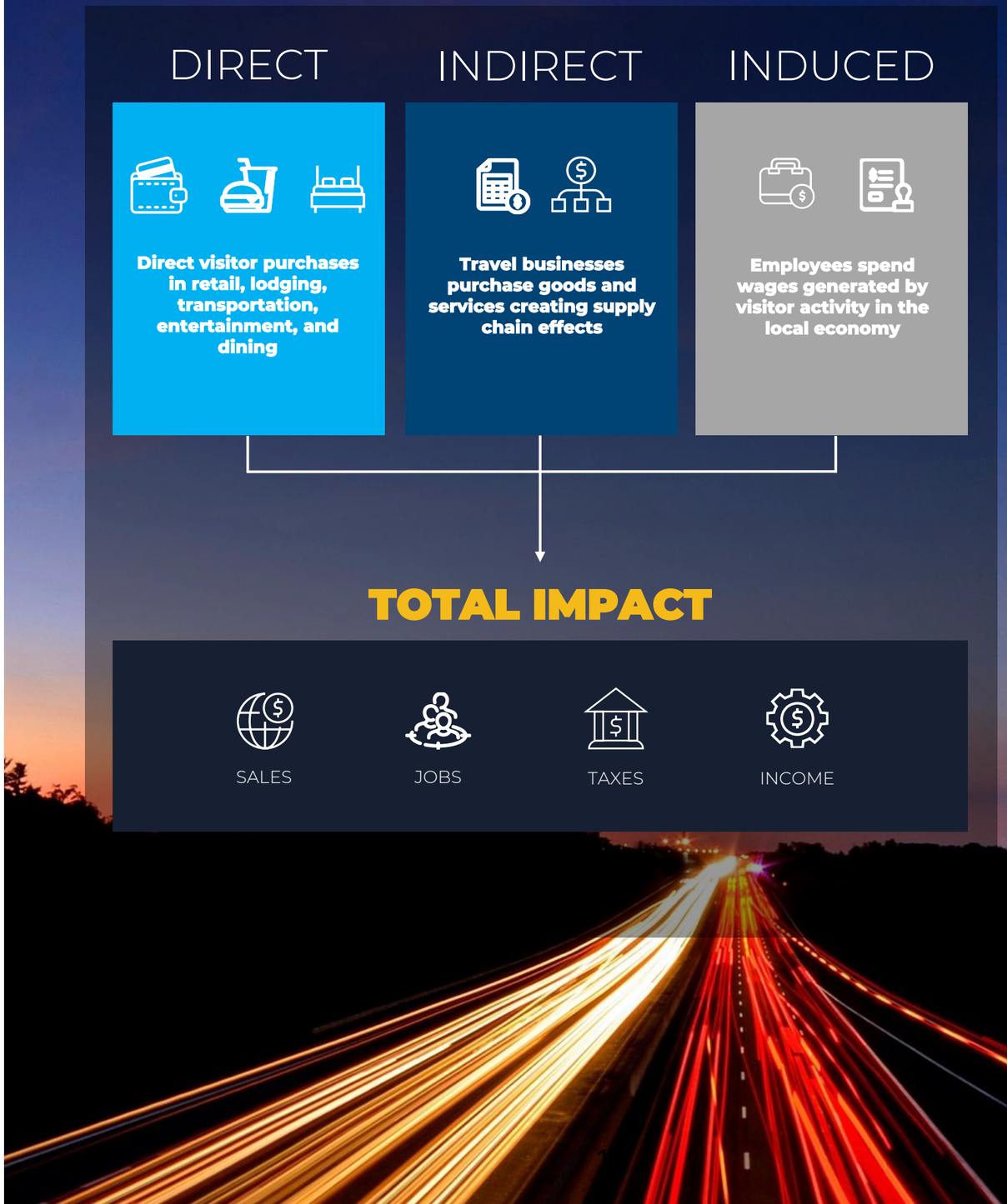
This provides a detailed profile of visitor spending by industry, which is then connected to a local input-output (I-O) economic impact model constructed within the IMPLAN platform. This uses government (Bureau of Economic Analysis and Census) data to trace the flow of visitors through the local economy and its effects on businesses, households, and government. The model quantifies three levels of impact:

1. **Direct impacts:** Visitor spending creates direct economic value within a defined set of sectors. This supports a proportion of spending, jobs, wages, and taxes within each sector.
2. **Indirect impacts:** Businesses providing direct services to visitors purchase goods and services, generating additional impacts called indirect impacts or supply-chain effects.
3. **Induced impacts:** Additional business activity is generated as employees spend incomes locally that are earned due to visitor activity. This is called the induced impact or income effect.

The model calculates these three levels of impact—direct, indirect, and induced—for the following metrics:

- Spending
- Wages
- Employment
- Federal Taxes
- State Taxes
- Local Taxes

Economic Impact Model



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ECONOMIC IMPACT

Business Sales Impacts

Visitors spent $769.3 million in Garden Grove in 2025. These direct impacts generated an additional $318.8 million through supply chain (indirect) and income (induced) effects.

As a result, the total economic impact of visitors reached $1.1 billion in 2025.

$0.8B Visitor Spending *(Direct Sales)* + **$0.1B** Indirect Sales + **$0.2B** Induced Sales = **$1.1B** Total Economic Impact

Business Sales by Industry (2025)

$ millions

	Direct Business Sales	Indirect Business Sales	Induced Business Sales	Total Business Sales
Total, all industries	**$769.3**	**$127.7**	**$191.1**	**$1,088.1**
Lodging	$251.8	$0.0	$0.1	$251.9
Food & Beverage	$233.4	$4.4	$5.9	$243.7
Retail Trade	$186.4	$4.7	$16.2	$207.2
Finance, Insurance, and Real Estate	$10.4	$33.7	$52.3	$96.4
Recreation and Entertainment	$47.8	$18.3	$2.9	$69.0
Personal Services	$1.1	$11.9	$34.8	$47.8
Business Services		$24.2	$16.6	$40.8
Education and Health Care		$0.6	$34.6	$35.2
Gasoline Stations	$24.6	$0.3	$4.9	$29.8
Other Transport	$13.8	$5.7	$2.5	$22.0
Communications		$11.1	$7.7	$18.8
Wholesale Trade		$5.6	$7.8	$13.4
Construction and Utilities		$4.5	$2.6	$7.1
Government		$1.3	$1.3	$2.6
Manufacturing	$1.3	$0.8	$2.2	
Agriculture, Fishing, Mining	$0.1	$0.2	$0.3	
Air Transport				

Source: Tourism Economics



Employment Impacts

Visitor activity sustained 4,921 direct jobs in 2025, with an additional 1,773 jobs supported from the indirect and induced impacts of visitor activity. Total employment impacts tallied 6,694 in 2025, translating to one-in-eight jobs in the county.

4.9K Direct Jobs + **0.8K** Indirect Jobs + **0.9K** Induced Jobs = **6.7K** Total Jobs



The visitor economy supported **one-in-eight jobs** in Garden Grove, including more than 2,700 jobs in the food services industry.

Employment by Industry (2025)

jobs

	Direct Jobs	Indirect Jobs	Induced Jobs	Total Jobs
Total, all industries	**4,921**	**829**	**944**	**6,694**
Food & Beverage	2,627	42	53	2,721
Lodging	1,028	0	1	1,029
Recreation and Entertainment	419	348	29	796
Retail Trade	555	30	96	681
Personal Services	18	81	293	392
Other Transport	224	44	21	289
Business Services		137	98	234
Education and Health Care		5	216	221
Finance, Insurance, and Real Estate	31	93	77	201
Gasoline Stations	20	1	16	37
Wholesale Trade		16	20	36
Communications		13	11	24
Construction and Utilities		12	7	19
Government		3	3	6
Manufacturing	4	2	6	
Agriculture, Fishing, Mining	1	1	2	
Air Transport				

Source: Tourism Economics

Personal Income Impacts

Visitor activity generated $184.3 million in direct personal income in 2025. Including indirect and induced impacts, workers received $263.2 million in personal income.

$184.3M Direct Personal Income + **$36.8M** Indirect Personal Income + **$42.1M** Induced Personal Income = **$263.2M** Total Personal Income

Personal Income by Industry (2025)

$ millions

	Direct Personal Income	Indirect Personal Income	Induced Personal Income	Total Personal Income
Total, all industries	**$184.3**	**$36.8**	**$42.1**	**$263.2**
Food & Beverage	$77.4	$1.4	$1.4	$80.2
Lodging	$55.2	$0.0	$0.1	$55.3
Recreation and Entertainment	$20.9	$12.2	$0.9	$34.1
Retail Trade	$24.8	$1.2	$3.3	$29.3
Business Services		$8.7	$6.3	$15.0
Personal Services	$0.2	$4.1	$9.6	$13.9
Education and Health Care		$0.2	$10.7	$10.9
Finance, Insurance, and Real Estate	$0.9	$3.6	$4.6	$9.1
Other Transport	$3.8	$1.0	$0.5	$5.3
Wholesale Trade		$1.5	$2.0	$3.5
Communications		$1.2	$1.1	$2.3
Gasoline Stations	$0.9	$0.0	$0.7	$1.7
Construction and Utilities		$0.8	$0.5	$1.3
Government		$0.5	$0.4	$0.9
Manufacturing	$0.3	$0.1	$0.4	
Agriculture, Fishing, Mining	$0.0	$0.0	$0.0	
Air Transport				

Source: Tourism Economics



Tax Impacts

Visitor activity generated $139.2 million in government revenues in 2025.

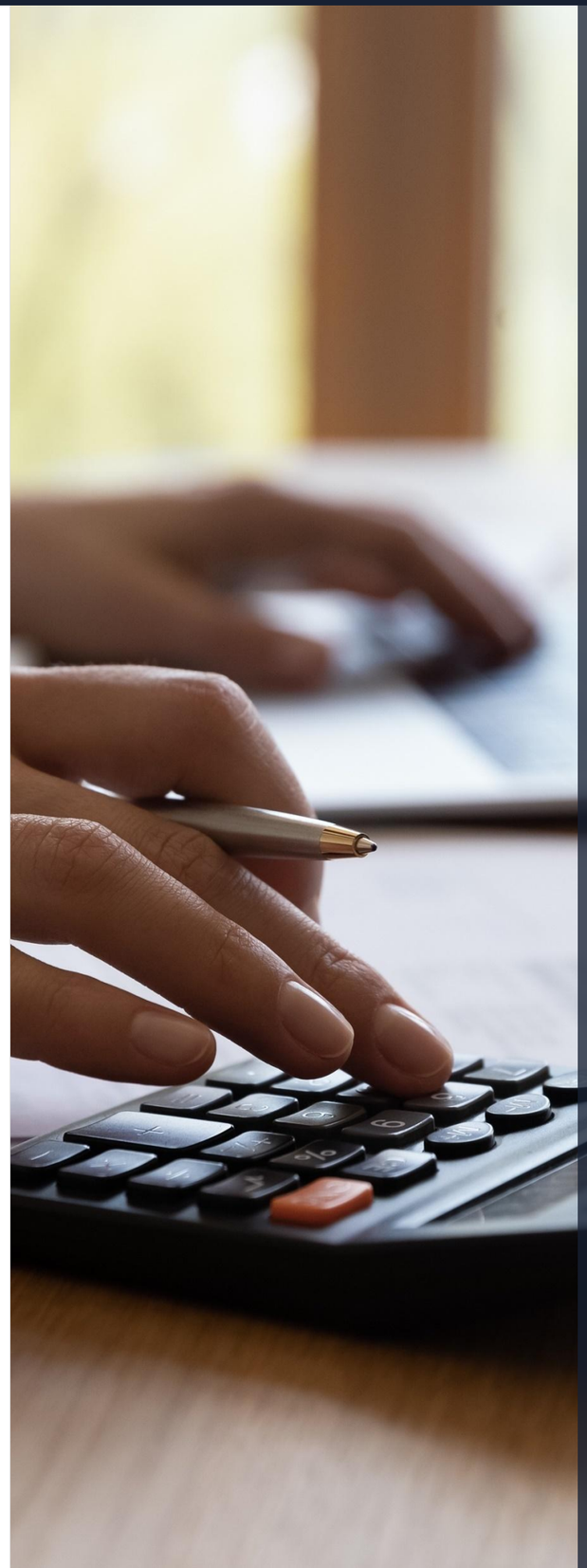
State and local taxes alone tallied $83.6 million in 2025.

Each household in Garden Grove would need to be taxed an additional $1,702 to replace the visitor-generated taxes received by state and local government in 2025.

Tax Impacts (2025)
$ millions

	2023	2024	2025	2025 Growth
Total Tax Revenues	**$140.1**	**$140.8**	**$139.2**	**-1.1%**
Federal Taxes	**$54.8**	**$55.5**	**$55.6**	**0.2%**
Personal Income	$22.7	$23.1	$23.1	0.1%
Corporate	$13.0	$13.1	$13.1	0.0%
Indirect Business	$5.5	$5.5	$5.7	2.3%
Social Insurance	$13.6	$13.8	$13.7	-0.4%
State and Local Taxes	**$85.3**	**$85.3**	**$83.6**	**-2.0%**
Sales	$12.1	$12.3	$12.3	-0.2%
Lodging	$32.4	$31.6	$30.1	-4.8%
Personal Income	$5.3	$5.4	$5.4	0.0%
Corporate	$11.1	$11.2	$11.1	-0.2%
Social Insurance	$0.5	$0.5	$0.5	-0.3%
Excise and Fees	$2.1	$2.1	$2.1	0.1%
Property	$21.9	$22.2	$22.1	-0.7%

Source: Tourism Economics



The visitor economy generated **$139.2 million in government revenue** in 2025.

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APPENDIX

Appendix

Methodology Overview

Measuring the visitor economy begins with a comprehensive demand side analysis. A visitor is defined as someone who stayed overnight or traveled more than 50 miles to the destination.

The study area is defined as Garden Grove, California.

Visitor survey data provide estimates on the volume of visitors by type and their spending in specific categories (e.g. lodging, restaurants, retail, recreation and entertainment, transportation). These estimates are strengthened through an analysis of industry-specific data sets on the lodging industry, aviation, and sectoral-level business sales. Government data, including taxes by type as well as employment and personal income by industry are used to supplement and confirm demand-side visitor spending calculations.

The primary source of the employment and wage data is the Regional Economic Information System (REIS), maintained by the Bureau of Economic Analysis (BEA). This is more comprehensive than Bureau of Labor Statistics (BLS QCEW) data because sole-proprietors do not require unemployment insurance and are not counted in the QCEW data.

The complete set of data inputs is provided below.

Data Sources

- **Bureau of Economic Analysis and Bureau of Labor Statistics:** Employment and wage data, by industry
- **STR:** Lodging metrics, including room demand and supply, room rates, occupancy, and room revenue
- **Visit Anaheim:** TID revenue data
- **California Department of Tax and Fee Administration (CADTFA):** County level sales tax data by industry category
- **U.S. Census Bureau:** Economic Census data, as well as data on population, households, and second homes
- **U.S. Energy Information Administration:** Regional gasoline prices
- **Tourism Economics:** International arrivals and spending data for the Los Angeles, Riverside, and Orange County metro areas
- **Visitor surveys:** Historical visitor profile research on volume, spending, and visitor preferences and attributes

Glossary

SPENDING DEFINITIONS

LODGING	*All accommodation businesses, including hotels, B&Bs, campgrounds, and short-term rentals. This includes food, entertainment, and other services provided by these establishments.*
FOOD & BEVERAGE	*Includes all visitor spending on food & beverages, including at restaurants, bars, grocery stores and other food providers.*
RECREATION	*Includes visitors spending within the arts, entertainment and recreation sector.*
RETAIL	*Includes visitor spending in all retail sub-sectors within the local economy, excluding grocery stores.*
LOCAL TRANSPORT	*Ride share, taxis, limos, trains, rental cars, buses, and gasoline purchases.*
AIR TRANSPORT	*Where applicable, the local share of air transportation spending.*
SECOND HOMES	*Where applicable, spending associated with seasonal second homes for recreational use as defined by the Census Bureau.*

ECONOMIC IMPACT DEFINITIONS

DIRECT IMPACT	*Impacts (business sales, jobs, income, and taxes) related to businesses where visitors spend dollars (e.g. recreation, transportation, lodging).*
INDIRECT IMPACT	*Impacts created from the purchase of goods and services as inputs (e.g. food wholesalers, utilities, business services) into production by the directly affected sectors (i.e. business-to-business purchases).*
INDUCED IMPACT	*Impacts created from spending in the local economy by employees whose wages are generated either directly or indirectly by visitor activity.*
EMPLOYMENT	*Employment is measured by the Bureau of Economic Analysis (BEA) definition, and captures full-time and part-time jobs, which includes salary and wage employees and proprietors.*
PERSONAL INCOME	*Income (wages, salaries, proprietor income and benefits) supported by visitor spending.*
LOCAL TAXES	*City and County taxes generated by visitor spending. Includes any local sales, income, bed, usage fees, licenses and other revenue streams to local governmental authorities.*
STATE TAXES	*State tax revenues generated by visitor spending. Includes sales, income, corporate, usage fees and other assessments of state governments.*

About the Research Team

This study was conducted by the Tourism Economics group within Oxford Economics. Tourism Economics combines an understanding of traveler dynamics with rigorous economics to answer the most important questions facing destinations, investors, and strategic planners. By combining quantitative methods with industry knowledge, Tourism Economics designs custom market strategies, destination recovery plans, forecasting models, policy analysis, and economic impact studies.

Oxford Economics was founded in 1981 as a commercial venture with Oxford University's business college to provide economic forecasting and modeling to UK companies and financial institutions expanding abroad. Since then, we have become one of the world's foremost independent global advisory firms, providing reports, forecasts and analytical tools on 200 countries, 100 industrial sectors and over 3,000 cities. Our best-of-class global economic and industry models and analytical tools give us an unparalleled ability to forecast external market trends and assess their economic, social and business impact.

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